



E-COMMERCE PROFITABILITY & MARKETING SPEND ANALYSIS

Insights, Marketing Efficiency & CEO Recommendations

Business Problem

BrightCart is an online retailer selling products across 8 Categories and 4 Sales Channels. The company made \$1M+ in gross revenue over the past two years, however the net margins have been shrinking and profitability is uneven.

Profitability

Uneven profit across product categories and sales channels

Margin Erosion

Returns, refunds and discounts are silently reducing net margins

Inefficient Marketing

High marketing spend with low ROAS on certain platforms and months

Strategic Goal

Identify actionable improvements to boost profitability and optimize ROI

Objective & Agenda

OBJECTIVE: Analyse BrightCart's products, channels and marketing performance to deliver data driven CEO recommendations for maximizing net profitability and ROI

01 Product Category Profitability

02 Sales Channel Profitability

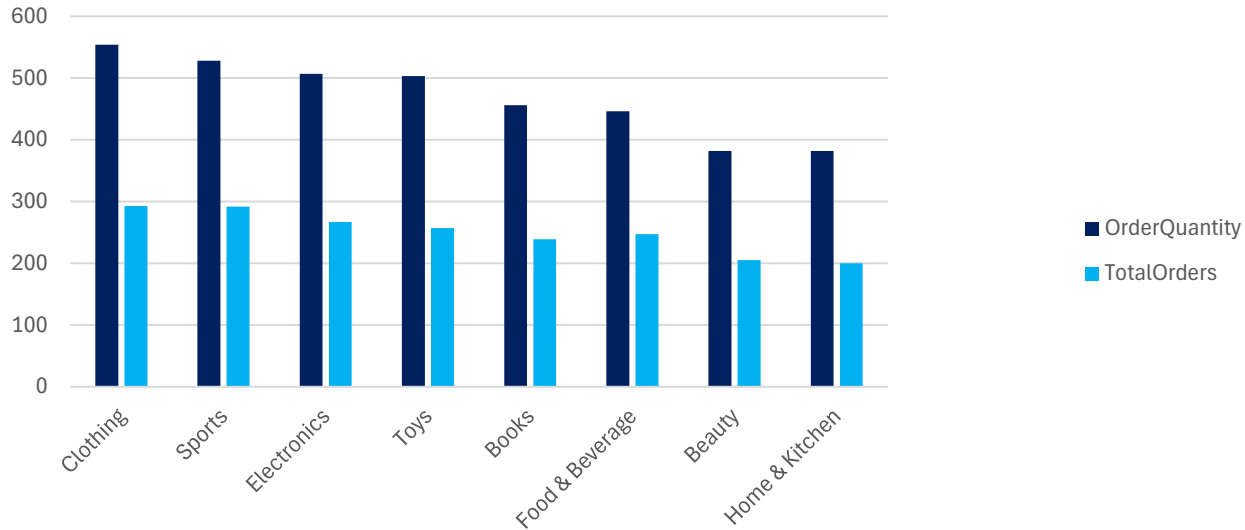
03 Return Rates & Revenue lost

04 Marketing spend and ROAS

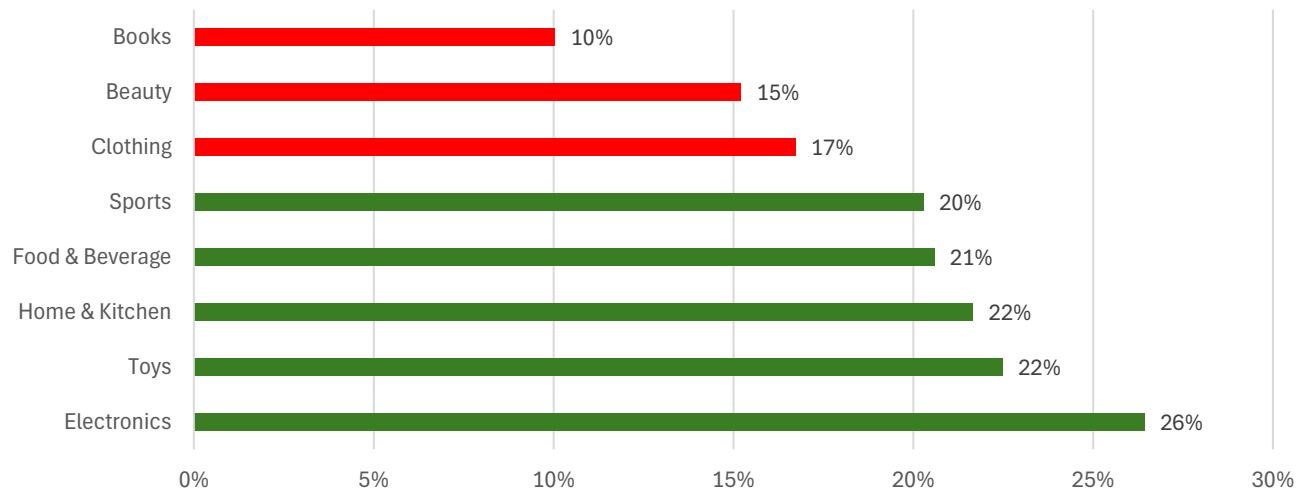
05 CEO Recommendations: 20% Budget cut

06 Summary and Key Takeaways

Product Category Profitability



Profit Margin



Risk Categories

Books and clothing suffer high return rates, while Beauty is the lowest in return rates and discount it's profit margin is unstable due to under pricing of product

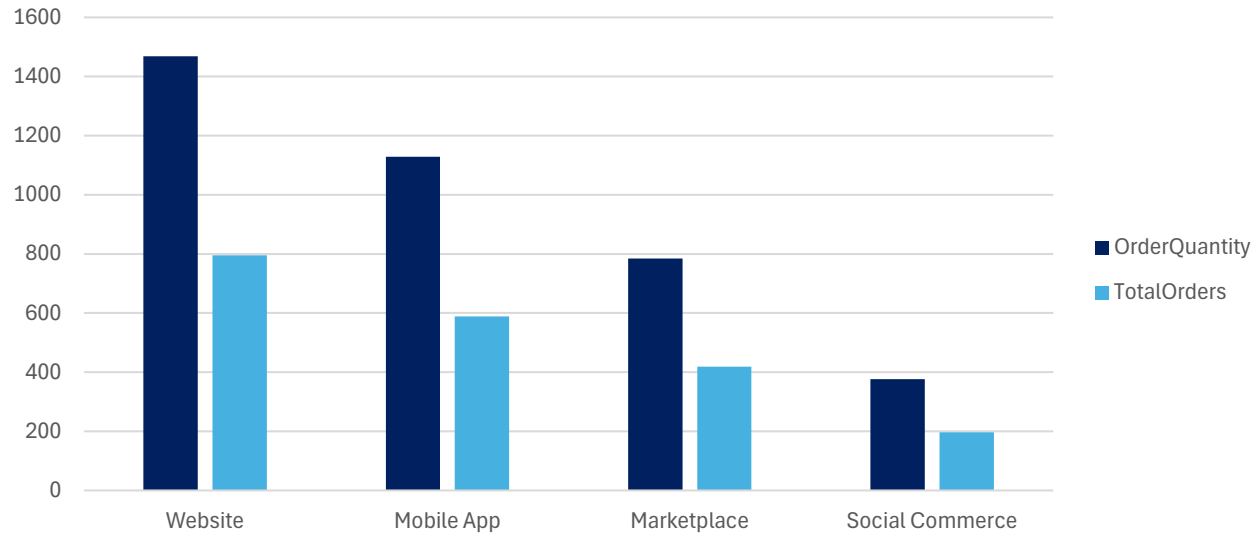
Stable Margins

Sports, Food & Bev, Home & Kitchen, toys have stable margins. Even though Electronics has the highest return rates and discount the profit margin is still stable.

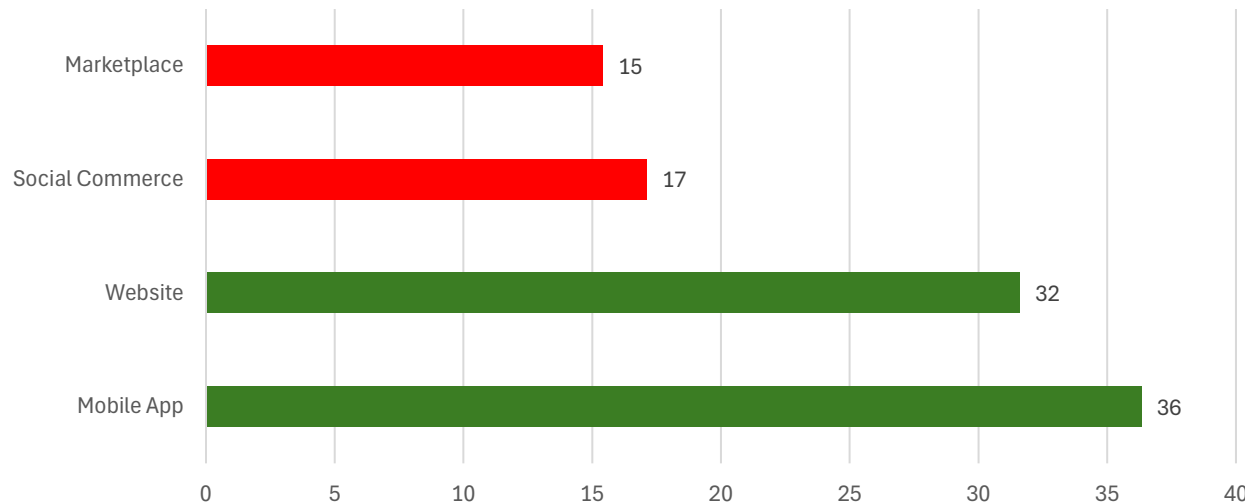
Actions

Improve product descriptions and analyse pricing especially in Beauty products.

Sales Channel Profitability



Average Profit Per Order



Risk Channels

Marketplace shows a stable order volumes but thin profit margins. Low efficiency and high return rates in Social Commerce.

Stable Channels

Mobile App and Website shows rapid growth in order volumes and profit per order.

Actions

Prioritize investment in Mobile App and Website. Renegotiate fees in Marketplace and restructure strategy or minimize investment in Social Commerce.

Return Rates & Revenue Loss

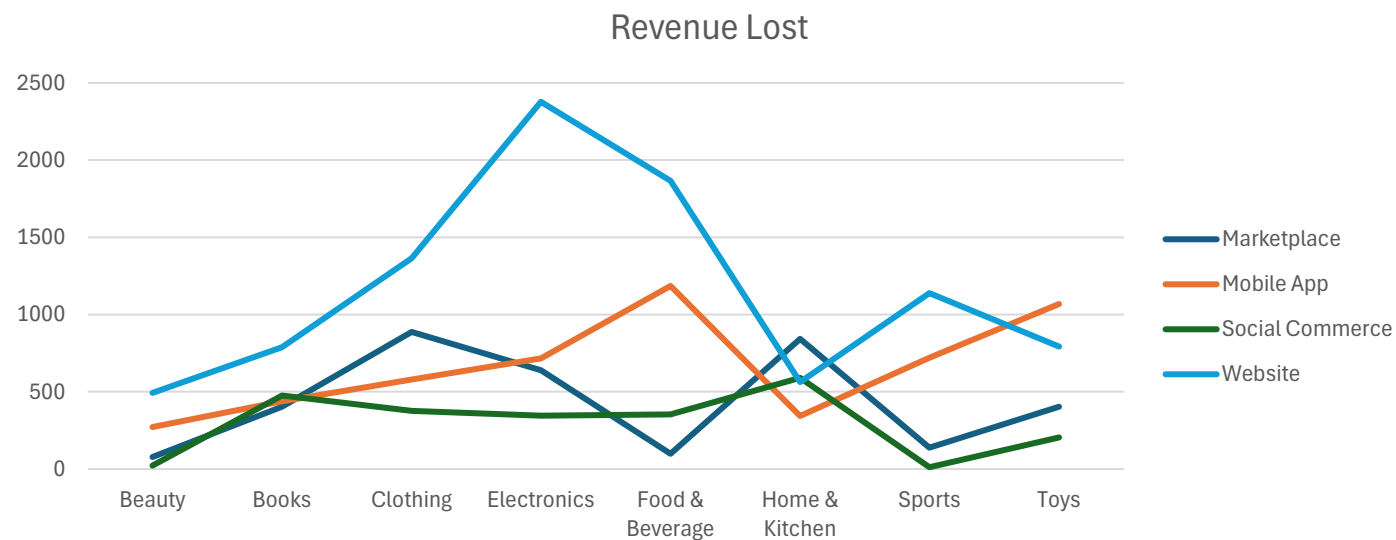
Category	Marketplace	Mobile App	Social Commerce	Website
Beauty		6%	7%	4%
Books		8%	6%	13%
Clothing	12%		7%	13%
Electronics		8%	8%	9%
Food & Beverage		2%	7%	13%
Home & Kitchen		7%	5%	13%
Sports		2%	9%	4%
Toys		8%	8%	4%

Website & Mobile App have the lowest return rates but high revenue loss.

Electronic and Clothing have the most return rates and revenue loss.

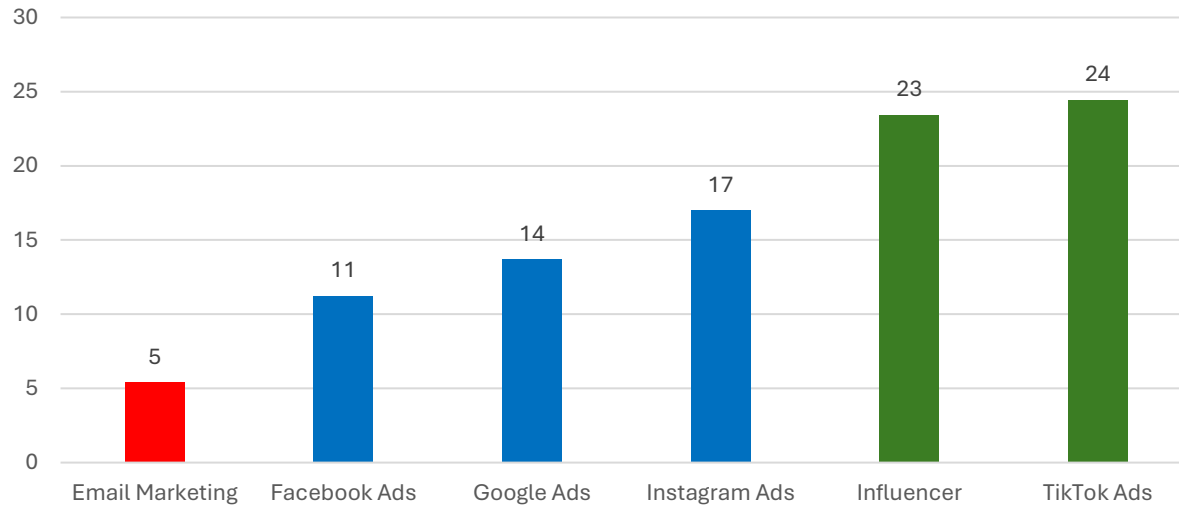
Social Commerce suffer the most return rates but lower revenue lost due to low order quantity.

Action: Improve product info quality, size guides and proactive return prevention in high-value category



Marketing Spend & ROAS

Average ROAS Per Platform



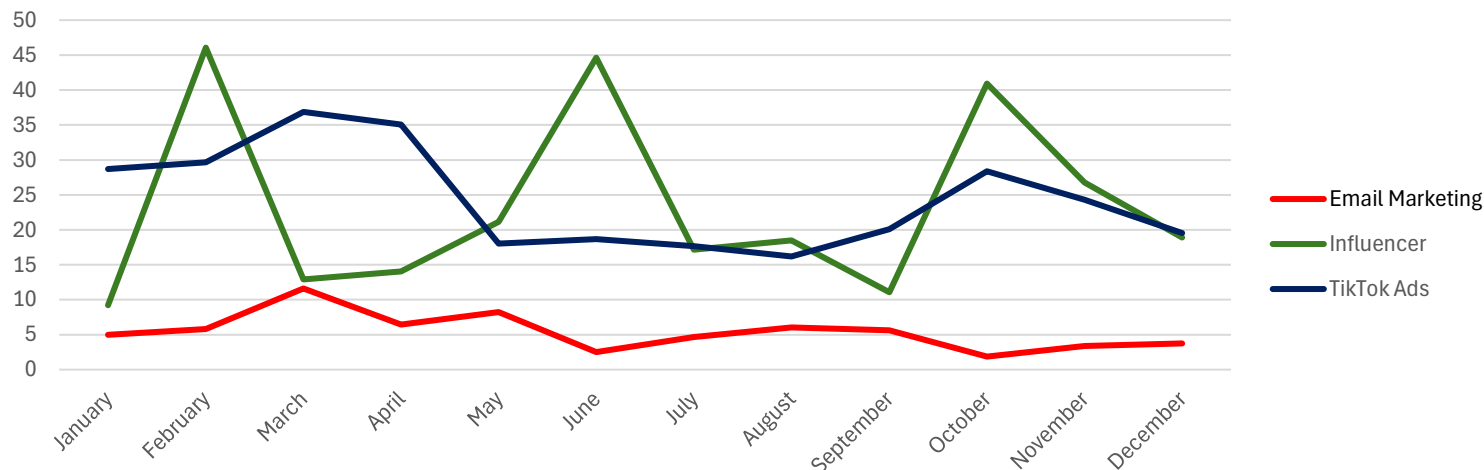
TikTok & Influencer

Highest ROAS. Priority platforms, increase budget allocation.

Instagram, Google & Facebook

Solid ROAS, profitable. Focus on efficiency improvements.

Monthly ROAS Trends (Key Platforms)



Email Marketing

Lowest ROAS. Optimize content, segmentation and send timing

CEO Recommendation: 20% Budget Reductions

Platform	Months to cut	ROAS level	Reason
Google Ads	July	Low	Lowest ROAS, moderate spend
Facebook Ads	Aug, Oct, Nov	Low	High spend, poor returns, trim 3 months
Instagram Ads	Nov	Low	Lowest ROAS, reduce budget
TikTok Ads	Aug, Dec, Nov	Below Avg	ROAS dips vs other months – minor trim only
Email Marketing	Oct, Jun, Nov	Low	Consistently low ROAS, reduce 3 worst months
TikTok Ads	None	Moderate-high	Avoid cuts-high ROAS months are critical to revenue

Summary & Key Takeaways

Product Category

Clothing and electronics suffer the most returns and discounts, reduce return rates with better product info and size guides. Beauty is the lowest in return rates and discounts, analyse pricing strategy.

Marketing ROAS

TikTok & Influencer deliver highest ROI. Email marketing underperforms – optimize or reduce

Best Channels

Mobile App & Website are profit leaders. Marketplace & Social Commerce need structural optimization.

20% Budget Cut

Achievable by cutting only low ROAS months. Influencer budget must be protected to preserve peak revenue.